CHALLENGES GALORE

While the success in restoring such vast sums of money may seem straightforward, the process itself is anything but simple. The ED's efforts to track, seize and ultimately return assets are labour-intensive and require detailed investigations, coordination with various authorities, and legal procedures that often stretch over months or even years. Money-laundering operations often involve intricate layers of transactions designed to conceal the origin of funds and obscure their true ownership. This is where the ED's expertise in forensic analysis plays a crucial role. By leveraging cutting-edge technology and forensic accounting methods, it can uncover the often-complicated webs of financial crimes and pinpoint the proceeds that belong to victims, even if these assets have been camouflaged or transferred through multiple channels.

Take the case of the Punjab National Bank (PNB) scam involving diamantaires Mehul Choksi and Nirav Modi. One of the accused, Nehal Modi, Nirav's brother, managed the affairs of two companies—Twin Fields Investments Ltd and Bailey Banks and Biddle. Both firms received around $50 million from Nirav Modi's dummy companies, which, in turn, obtained these funds through the fraud committed on PNB. Nehal also became the protector and investment advisor of Nirav Modi's The Ithaca Trust. The trust was alleged to have secured tainted funds amounting to $30 million and used them to buy two immovable properties in the US.

Once the proceeds of crime are identified, as in the PNB case, the ED moves to attach both movable and immovable properties. While immovable properties like land, houses and office buildings are easier to track, identifying movable assets can be far more challenging. These assets may include luxury vehicles, valuable artworks, jewellery, cash held in bank accounts under the names of family members or associates, or assets hidden in offshore accounts. Even more complicated are cases where assets are held under benami ownership—properties that are technically



ED DIRECTOR RAHUL NAVIN HAS CHAMPIONED THE CAUSE OF RESTITUTION AS A CORNERSTONE OF THE AGENCY'S OPERATIONS EVEN THOUGH THE PROCESS IS CHALLENGING

owned by another person, but in reality belong to the accused. In Nirav Modi's case, the US flats purchased were in the names of his wife and sister.

The ED's efforts also extend to seizing machinery and industrial equipment in cases where illicit money has been invested in businesses or factories. However, such assets are often subject to rapid depreciation, forcing the agency to ensure their value is maximised before liquidation. The ED coordinates with various authorities, including courts and banks, to ensure seized properties are sold in a way that maximises their value. Once the assets are monetised, the proceeds are deposited in banks, and the court is notified to release funds to the legitimate claimants.

The challenges don't end here, though. The cooperation of various stakeholders is crucial, especially when assets are seized by both the ED and financial institutions like banks. Senior ED officials emphasise the importance of aligning all parties to work toward the common goal of returning money to the victims. "The goal is clear: to ensure victims receive their due compensation," says a senior ED official involved in the process. "We work closely with banks and other stakeholders to ensure the restitution process does not get delayed. The quicker we can monetise and return the money, the better for the victims. When the money is returned to the financial institutions, it has a multiplier effect on the economy." The Bhushan Power & Steel case is cited as an example of how the Insolvency and Bankruptcy Code (IBC) and the processes under the PMLA can work in tandem. The company defaulted on Rs 47,200 crore in loans. The promoters, Neeraj Singal and Brij Bhushan Singal, diverted bank funds to private investments in the form of shares and properties. The company's books showed fake expenses alongside purchases of capital assets, many of which were made using the names of relatives or shell entities. In 2019, Bhushan Power & Steel was sold to JSW for Rs 19,700 crore through the IBC process. The ED also attached assets worth Rs 4,025 crore, which have now been restituted to various lenders, mainly banks that suffered losses.

In cases involving multiple accused—common in money-laundering operations—the process is even more complex. The accused can range from company directors to low-level operatives, such as drivers or hawala operators. Identifying and prosecuting all individuals involved is crucial to recovering the full proceeds of crime. The same holds true for identifying all the victims. The process of restitution becomes especially difficult and tedious when it involves a large number of victims and the liquidation of immovable assets, as seen in the Rose Valley chit fund case.

The ED is harnessing technology and the national payment system to make the process simple, transparent, foolproof and quick. While the ED is routinely accused of being used by the government as a weapon to target political opponents, the restitution process has brought the agency goodwill among large sections of the public. With restitution of funds recovered from frauds now becoming a top priority for the ED, the process, even if it may be slow or painstaking, will ensure that victims of financial frauds are not forgotten. ■